5. Pecunia current account deficit \$1 billion and nonreserve financial account surplus \$0.5 billion

a. What was the balance of payment of Pecunia? What happened to the country's net foreign assets?

balance of payments = -\$1 billion + \$0.5 billion = -\$0.5 billion

net foreign assets = current account = -\$0.5 billion

b. no foreign intervention, how did the Pecunian central bank's foreign reserves change? How would this official intervention show up in the balance of payments account?

current account + nonreserve financial account + reserve financial account = 0, reserve financial account = \$0.5 billion

foreign reserves -\$0.5 billion

This officail intervention appears as a credit of \$0.5 billion in financial account under "Reserve asset".

c. How would your answer to (b) change with foreign central banks buying \$0.6 billion Pecunian assets? How would this official purchases enter foreign balance of payments account?

Pecunia's reserve change is still a decrease of \$0.5 billion.

In foreign balance of payment accounts, the purchase recorded as a debit in financial account.

d. Draw up Pecunian balance of payments accounts under the assumption the event described in (c) happened

	credit	debit	net
Credit Account			-1.0
Financial Account			+1.0
Nonreserve			+0.5
Foreign Purchase	+0.6		
Other		-0.1	
Reserve	+0.5		+0.5
Total			0

扫描全能王
3亿人都在用的扫描App

8. Is it possible for a country to have a current account deficit and surplus in its balance of payments? Explain, using hypothetical figures. Be sure to discuss the possible implications for official internation reserve flows.

Possible. Supposed that current account = -$1 billion and nonreserve financial account = $1.5 billion, the balance of payment = $0.5 billion.

Official foreign reserve increase by $0.5 billion, shown as a debit in financial account.

扫描全能王
3亿人都在用的扫描App